Don’t wait too long to “pass it on”—it could be too late!

The bottom line is that it’s never too early for a wealth creator to start grooming protégés. But beyond that, if you are the wealth creator of your family, you need to let go of the reins. *And the sooner, the better*. This ensures that your protégés gain real-world experience in managing the family money.

It takes 1,000 hours of focused effort to become competent in anything. That means you need 1,000 hours of actively managing family money before you can expect to be competent at it. But since investing is such a competitive activity, you’d be a lot better off if the person managing your family wealth were a real master who had worked at it for 5,000 hours or longer.

Does someone in the next generation of your family have that kind of experience? Does someone have the stamina and persistence to get it? You need to make sure they do.

And you want all family members to be passably competent in financial affairs. Let them each manage a small portion of the family wealth, say somewhere between 0.5 percent and 1 percent. There is no better way for them to learn the ropes. The earlier they make mistakes, the better. Mistakes are a great teacher, especially if there is real money involved.

Of course, creating the opportunity for family members to gain experience comes at a price. But that price will be much greater the longer you wait—and perhaps catastrophically high if you wait too long to take advantage of the wealth creator’s guidance. Ideally, you want all family members to be passably competent in financial affairs. They can gain this competence by managing some portion, however small, of family assets.

Mentoring and internships can take many different forms. We like to send young people to work in foreign countries. We figure it gives them more options, a wider range of experience and particular skills that they would not otherwise have. Besides, you never know what the future holds. The more options that you have in terms of where you can live, work, and move your money, the better. And, of course, this gives your family office much more flexibility in terms of wealth preservation.

Giving family members the opportunity to explore new cultures helps develop your family’s human capital. Understanding another culture raises